point at which it becomes more costly for foreign investors to pull out than to stay in and ride out the currency adjustment!

Criticism of Exchange Rate Management

The Reserve Bank's action and inaction on the exchange rate front attracted plenty of criticism which intensified as the rupee continued on its relentless slide. This criticism was all over the map and straddled virtually every dimension—policy, strategy, tactics and communication. Abstracting from all the details, I can crystallize the criticism into two distinct strands. First, that I was too hands-off, did not build forex reserves when there were copious capital inflows in 2010 and 2011, and that failure had cost us dearly in managing the exchange rate when it came under pressure in 2013. The second strand of criticism was that the Reserve Bank's defence of the rupee was too hesitant and tentative, and lacked credibility. That, as governor, instead of projecting confidence and resolve, I betrayed diffidence and ambiguity which, according to this school of thought, undermined our efforts to arrest the slide.

As I look back on those anxious months from this distance of time, I see that at least some of the criticism was valid. Perhaps this is an appropriate point to explain where I was coming from, not so much to defend my record, but to communicate some of the dilemmas I confronted as governor.

Take the first criticism that I did not intervene in the market when there were capital inflows in 2010 and 2011, thereby failing to build a defensive buffer of reserves for a future fight against exchange rate depreciation. What was worse, by allowing the rupee to appreciate through my hands-off approach, I had dented India's export competitiveness.

This alleged inaction on my part has to be evaluated in the context of the Reserve Bank's stated exchange rate policy, which is not to keep the rupee at a certain level but only to tamp down volatility in the exchange rate. In other words, during an episode of depreciation, for example, the attempt is not to prevent the fall of the rupee but only to engineer the trajectory of the fall.